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China Utilities & Renewables Blog

China solar shr px jump; 1H26 ESS development trend largely positive; new nuclear projects approval

On August 3, polysilicon futures prices rose by ~9%, and share prices of polysilicon and solar glass makers rose by ~10% on average (vs. SHCOMP/HSCEI's largely flat). We attribute the move to (1) the market's hope for a regulatory intervention, following SAMR's price-compliance guidance session on July 31, and (2) Xinyi Solar's 1H26 results and mgmt's remarks on 2H recovery. In our recent report ([link](#)), we upgraded solar glass makers (XYS and Flat-H) to OW on attractive valuations and a turnaround in 2027/28. We maintain OW on **Daqo** and **GCL Tech**. We closed our UW call on **LONGi** and **SZ SC** (U/G both to Neutral). We maintain UW ratings on Tongwei and Maxwell given their unattractive valuations.

We see inconsistent 1H26 China ESS installation statistics (see body for details), likely due to tallying. With BJX reporting ESS/system/EPC tenders hitting 248GWh (+40% YoY), **we conclude a positive ESS development trend**.

China's State Council approved four nuclear projects on July 31 for eight new reactor units (over Rmb170bn of investment), involving CNNC, CGN, and SPIC. We see this as a rising nuclear buildout tied to China's carbon-neutrality goals benefiting nuclear power operators via capacity growth, and reiterate an OW rating on **CGN Power** on secular expansion and improving tariffs supporting earnings.

Investors have raised concerns about whether our coverage (especially low-voltage electrical equipment) could be vulnerable if data centers begin moving from traditional AC systems toward a 800V DC architecture. We hosted a call series with companies offering products tied to the 800V applications to respond to these questions. **Our view is that 800V DC represents an "edge" configuration** for data centers rather than a wholesale substitute for the existing AC backbone. **It may also open up incremental growth avenues for firms developing next-generation solutions** such as solid-state transformers, and our discussions indicate several Chinese vendors have already provided prototypes to U.S. cloud service providers, with commercialization likely in late 2027 or 2028. Korean power companies are also in R&D for certain types of electrical equipment products suited for the new power architectures.

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Table 1: Top stock ideas

Company	Ticker	Rating	Current price	PT(LC)	Upside/ (Downside)	Investment thesis/ Key Catalysts
Top Long						
Deye	605117 CH	OW	80.9	154.0	90%	(1) Riding the strong DG ESS growth in EM; (2) Beneficiary of disruption and tailwinds from energy resilience; (3) First mover in EM + cost leadership
Flat Glass	6865 HK	OW	7.73	8.80	14%	Current valuation is attractive and we see turnaround potential into 2027/28
Orient Cables	603606 CH	OW	42.4	61.0	44%	Benefitting from China's offshore wind demand pickup, as well as submarine cable's (1) high entry barriers, (2) stable competitive landscape, (3) strong profitability
Goldwind-H	2208 HK	OW	10.4	19.4	87%	WTG business may continue to improve, on the back of rising export sales and stronger-than-expected GPM
ENN Energy	2688 HK	OW	46.6	57.0	22%	>6% dividend yield with at least stable DPS. ENN's LNG contracts and help protect its dollar margin amid rising LNG and piped gas prices
Wasion	3393 HK	OW	18.9	32.0	69%	China smart meter leader with strong earnings growth driven by overseas expansion, new products, grid tender recovery, and AIDC orders
Top Avoid						
Tongwei	600438 CH	UW	12.9	8.8	(32%)	Multi-year polysilicon downcycle, loss-making in 2025, and unattractive valuation
Maxwell	300751 CH	UW	145.9	120.0	(18%)	Declining HJT cell equipment order intakes in the last two years, uncertainties on future order outlook, and unattractive valuation

Source: Bloomberg Finance L.P., J.P. Morgan estimates. All prices as of 3 August 2026 market close.

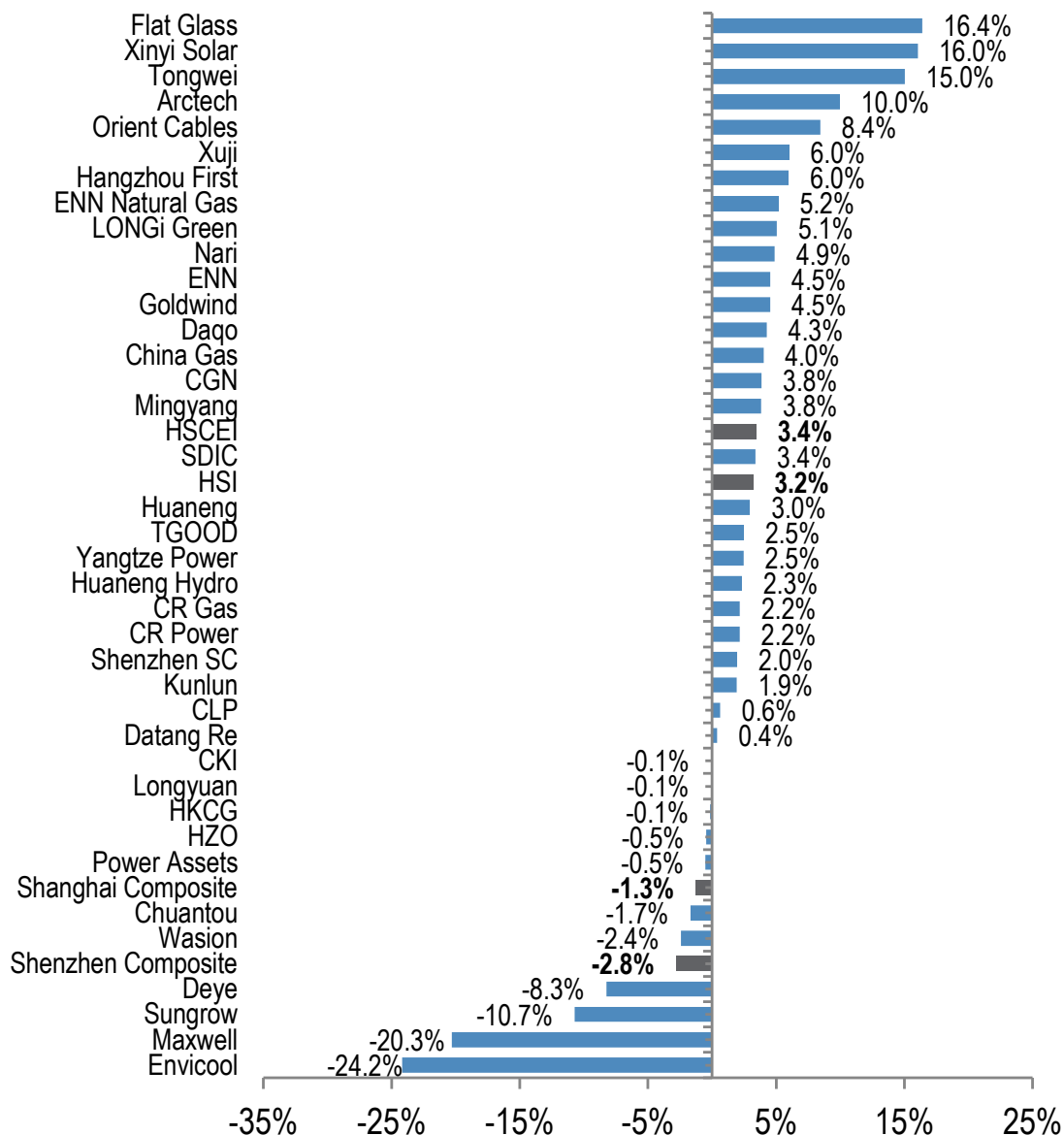
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Table 2: Earnings Calendar

Mon	Tue	Wed	Thu	Fri
3-Aug	4-Aug	5-Aug	6-Aug	7-Aug
	- Orient Cables 603606 CH		- CLP 2 HK	
10-Aug	11-Aug	12-Aug	13-Aug	14-Aug
		- CKI 1038 HK - PAH 6 HK		
17-Aug	18-Aug	19-Aug	20-Aug	21-Aug
	- Huaneng 902 HK	- HZ First 603806 CH - Deye 605117 CH - Xuji 000400 CH		
24-Aug	25-Aug	26-Aug	27-Aug	28-Aug
- Envicool 002837 CH - Maxwell 300751 CH - TGOOD 300001 CH	- Goldwind 2208 HK - Flat Glass 6865 HK - Huaneng Hydro 600025 CH	- Tongwei 600438 CH - Nari 600406 CH	- SZ SC 300724 CH - Longyuan 916 HK	- Sungrow 300274 CH - LONGi Green 601012 CH - Yangtze Power 600900 CH - Arctech 688408 CH - Mingyang 601615 CH - ENN NG 600803 CH - ENN Energy 2688 HK - CR Gas 1193 HK

Source: Company announcements, J.P. Morgan estimates.

Figure 1: HK/CH utilities' one-week performance



Source: Bloomberg Finance L.P. All prices as of 3 August 2026 market close, except for DQ US, priced as of 31 July 2026. Note: Past performance is not an indicator of future results.

Upgrading solar glass makers due to sequential improvement and trough valuations

China Solar's weak 1H26 installations reflected a high 2025 base, grid curtailment and policy-driven return uncertainty, but we expect a sequential 2H recovery in solar demand, supported by seasonality. Together with production suspensions, the supply-demand outlook for solar glass should improve. While sector fundamentals remain pressured and anti-involution efforts have so far lagged expectations, recent regulatory actions on capacity standards, cost-accounting discipline and price compliance could help stabilize pricing and limit further downside.

With China solar shares under our coverage down ~30% on average (vs SHCOMP Index down ~4%) and several names near trough valuations, we turn more selectively constructive: we maintain OW on Daqo, GCL Tech, and upgraded solar glass makers XYS and Flat to OW on attractive valuations and a turnaround in 27/28. We closed our UW call on LONGi and SZ SC, upgrading both from UW to N. We maintain UW ratings on Tongwei and Maxwell given unattractive valuations. For details, please refer to our note ([link](#)).

CEC reported ESS installation growth while NEA reported ESS installation decline; maintain our positive view on strong tender momentum

In 1H26, we saw contradicting data on China's ESS development. Per the NEA ([link](#)), China's new ESS installations reached 45GWh in 1H26, down 17% yoy. However, per the CEC ([link](#)), China's BESS installations were 60GWh, up 78% yoy. Meanwhile, BJX ([link](#)) reported that newly launched tenders for ESS systems and EPCs reached 248GWh, up 40% yoy.

J.P. Morgan view: For the ESS installation data difference between NEA and CEC, we attributed it to a few reasons:

- **Scope:** CEC data includes BESS projects from the 24 enterprise member units of the National Electric Power Safety Production Committee, while NEA data should include all ESS projects in China.
- **Calibers:** CEC data should focus on "newly commissioned and put into operation" BESS projects, based on the member units' actual commissioning/grid-connection reports as the standard. The NEA data should be a full-scope tally of new ESS projects that have been built and commissioned, with data compiled from local energy authorities and power grid companies. The confirmation standards are stricter and the coverage more comprehensive, but there may be reporting lags, or a more cautious approach in recognizing the commissioning status of certain projects.

We acknowledge that there has been some discrepancy between NEA and CEC since 2023. We believe the NEA may have booked some ESS projects into 2H25, which would make its 1H26 energy storage installed-capacity data appear lower. Alternatively, some projects may not have reached operational status and could be deferred to 2H26.

Figure 2: ESS installation data from NEA and CEC

NEA: Newly installed ESS		Unit	1H23	2H23	1H24	2H24	1H25	2H25	1H26
Capacity		GW	8.6	14.0	13.1	29.3	21.2	41.1	17.0
Power output		GWh	17.7	31.0	32.2	68.8	54.0	129.0	45.0
HoH									
Capacity				61.9%	-6.6%	124.7%	-27.9%	94.3%	-58.6%
Power output				74.8%	3.9%	113.8%	-21.5%	138.9%	-65.1%
YoY									
Capacity					51.2%	109.9%	62.1%	40.1%	-19.6%
Power output					81.7%	122.1%	67.8%	87.5%	-16.7%
CEC: Newly installed ESS		Unit	1H23	2H23	1H24	2H24	1H25	2H25	1H26
Capacity		GW	7.4	10.7	10.4	26.8	13.7	33.5	21.6
Power output		GWh	14.7	22.1	24.2	66.3	33.8	101.1	60.2
			120%	140%	133%	104%	160%	128%	75%
HoH									
Capacity				44.4%	-3.1%	158.1%	-49.0%	145.2%	-35.4%
Power output				50.2%	9.4%	174.3%	-49.1%	199.6%	-40.4%
YoY									
Capacity					39.9%	150.1%	31.7%	25.2%	58.4%
Power output					64.4%	200.1%	39.6%	52.4%	78.4%

Source: NEA, CEC.

As for the difference between ESS installation and ESS tenders, we have a few theories:

- The 2025 “rush installation boom” pulled forward (and effectively used up) some of the ESS project volume.
- After the release of Doc 114 in Jan 2026, the market has been waiting for local implementation rules. Provinces have progressed at different speeds on implementation details, and capacity compensation standards range from Rmb165-370/kW per year. With significant uncertainty in the revenue model, investors have generally chosen to wait and see.

We believe the rise in ESS tenders in 1H26 should indicate ample project reserves that are awaiting policy clarity before construction begins. The equivalent utilization hours of ESS on the northern and southern power grids are also rising: in the State Grid operating area, they increased by 9 hours yoy, and in the China Southern Power Grid operating area by 41 hours. With power stations being dispatched more often, cash flow should naturally improve accordingly. Thus, we believe China’s ESS demand remains strong, thus, we maintain our positive stance on China’s ESS installations and expect 2H26 ESS installations to further pick up. Within China’s ESS space, we have OW ratings on Sungrow (attractive valuation due to geopolitical concerns) and Deye (riding on EM ESS growth potential).

China approved eight new nuclear reactor units on July 31

China’s State Council on July 31 approved four nuclear projects covering eight new reactor units, with total investment expected to exceed Rmb170bn, per Pengpai News ([link](#)). These approvals involve nuclear power developers, including CNNC, CGN, and SPIC, while Hualong One 2.0 and “Guohe One” technologies will be deployed.

J.P. Morgan view: We continue to see positive developments on new nuclear units. Nuclear power development will be a critical part of China’s carbon neutrality plan. We expect the acceleration of new nuclear unit approvals and construction to benefit nuclear power operators, in terms of capacity addition. We have an OW rating on CGN Power (1816 HK), as: 1) the long-term secular capacity growth in China’s nuclear power on the back of carbon neutrality initiatives, and 2) improving nuclear power tariff regime, leading to earnings growth potential.

Asia Power Equipment: Implications of 800V DC Data Center Architecture; Call Series Takeaways

Recent discussions with investors have centered on whether our coverage could be vulnerable if data centers begin moving from traditional AC systems toward an 800V DC architecture. The concern is that adopting 800V DC could change the product mix and, as a result, influence demand for low-voltage electrical equipment. We respond to these questions in this note following a series of conversations with companies that offer products tied to 800V applications. Our view is that 800V DC represents an “edge” configuration for data centers rather than a wholesale substitute for the existing AC backbone. It may also open up incremental growth avenues for firms developing next-generation solutions such as solid-state transformers, and our discussions indicate several Chinese vendors have already provided prototypes to U.S. cloud service providers, with commercialization likely in late 2027 or 2028. Korean power companies are also in R&D for certain types of electrical equipment products suited for the new power architectures (see [note](#) for details).

Table 3: Weekly solar component price update

Product	20260729	Change
Polysilicon Price - Prime for Mono (RMB/kg) - quoted PVInfolink	31.50	-1.6%
Polysilicon Futures Active Contract Closing Price (RMB/kg) - quoted Guangzhou Futures Exchange	32.68	-4.6%
Granular Polysilicon Price (Rmb/kg) - quoted PVInfolink	31.00	-1.6%
Polysilicon Price - Ex-China (Usd/kg) - quoted PVInfolink	18.50	0.0%
Mono N-type Wafer - 182*210mm (Rmb/pc) - 130um	0.90	-3.2%
TOPCon Cell - 182-210mm 25.0%+ (RMB)	0.26	0.0%
182*182-210mm/210mm single TOPCon Module - China Utility projects (RMB)	0.70	0.0%
182*182-210mm/210mm single TOPCon Module - China DG projects (RMB)	0.74	0.0%
182*182-210mm BC Module - China Utility projects (Rmb/W)	0.80	-2.3%
182*182-210mm BC Module - China DG projects (Rmb/W)	0.82	-1.8%
182mm bi-facial TOPCon Module (RMB)	0.72	0.0%
210mm bi-facial HJT Module (RMB)	0.75	0.0%
Solar glass - 3.2mm (RMB / m2)	15.60	0.6%
Solar glass - 2.0mm (RMB / m2)	9.00	0.0%
General EVA film (RMB / m2)	5.56	0.0%
White EVA film (RMB / m2)	6.06	0.0%
POE film (RMB / m2)	9.25	0.0%
PV grade EVA resin (Rmb/ton)	10,250	4.1%
Soda ash (Rmb/ton)	1,230	0.0%
Silicon metal (Rmb/ton)	9,290	0.0%
Steel scrap (Rmb/ton)	2,420	0.0%
Cast iron (Rmb/ton)	3,060	-1.0%

Source: PVInfoLink, SMM, WIND, Bloomberg Finance L.P. Note: For EVA resin, soda ash, silicon metal, steel scrap, cast iron, data are as of last working Wednesday.

Companies Discussed in This Report (all prices in this report as of market close on 03 August 2026, unless otherwise indicated)
Daqo(DQ/\$12.17[31 July 2026]/OW), GCL Tech(3800.HK/HK\$0.68/OW)

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Daqo (DQ, DQ US) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
18-Oct-23	OW	27.05	38
03-Nov-23	OW	25.49	37
10-Mar-24	OW	28.05	38
03-May-24	OW	19.14	31
16-Jul-24	OW	15.84	23
15-Oct-24	OW	19.78	27.1
28-Feb-25	OW	21.50	28.5
15-May-25	OW	14.98	24.7
01-Sep-25	OW	25.35	32.5
17-Nov-25	OW	33.52	38
13-Apr-26	OW	20.70	35.5
31-Jul-26	OW	12.11	22

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Nov 14, 2019. All share prices are as of market close on the previous business day.

GCL Tech (3800.HK, 3800 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
12-Sep-25	OW	1.32	1.8
16-Sep-25	OW	1.26	1.7
13-Apr-26	OW	0.98	1.4
31-Jul-26	OW	0.62	1.1

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jun 07, 2011. All share prices are as of market close on the previous business day.
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